***Total returns include dividends received and reinvested, both for CCPs as well as for the indices.*

Scenario 2: We sell when the Nifty trailing P/E multiple goes above twenty times and invest in government bonds. We wait for the multiple to drop below fourteen times to reinvest in a fresh CCP at that time (equal allocation of all new stocks). So, for example, when the Nifty exceeded twenty times the trailing earnings in July 2009, we sell the entire portfolio and buy government bonds. We then wait until December 2011 and BUY the CCP FY11 at that point.

In this scenario, while the completed CCP portfolios (until the ones initiated in 2006) show marginal outperformance, the incomplete ones underperform the ‘buy & hold’ CCP strategy significantly.